Mohnish Pabrai's Interview with The Investor's Podcast on March 23, 2026

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Stig: Today, I am here with no other than Mohnish Pabrai. Mohnish, welcome to our annual banter here that will be published over the Berkshire weekend.

Mohnish: Stig, I always look forward to this. It is like the pregame tailgate party. It is always a pleasure to be here with you.

Stig: Mohnish, since this is the Berkshire weekend, I want to ask you a few questions about the company. Greg Abel has arguably been running the operating businesses since 2018, when he became the vice chairman of non-insurance operations. It is safe to say that Greg is more hands-on, whereas Buffett was inclined to delegate almost to the point of abdication. Which CEO approach would you prefer if you were a Berkshire shareholder?

Mohnish: Charlie Munger said that Greg is better than Warren in some important ways. He never went further to describe what those were, but I thought about what he might have meant.

Greg is in Des Moines, Iowa, and he has a team. He has a team of about 30 people who are between him and the businesses. He has put in a lot of smart people to help him look at these companies. For Warren, it was easier because he bought these businesses one at a time, and he got to know them one at a time. For example, when he bought See's Candies, there were few operating subsidiaries. Warren spent an inordinate amount of time on See's, Coke, and Buffalo News. Greg does not have that luxury because when he comes in, there are 80+ businesses. Moreover, the Mormon Group has hundreds of businesses inside that. He is never going to be able to know the businesses as well as Warren does. The second thing is that Warren's persona was not to get involved. The Berkshire companies, for decades, have been undermanaged. It can be an advantage to leave these managers alone, but it also has a lot of disadvantages.

Greg got a nice middle ground in the sense that he is not overbearing in your face. But at the same time, if he clearly sees that a manager is not delivering or is not the right person, he is going to act on that. We are going to be seeing

tighter operations. Most of the acquisitions Warren made did not work well for Berkshire. Let that sink in, Stig, because we are talking about God here. I would have some conversations with Charlie, and I would tell him, "Charlie, I hate retail." I wrote a chapter in my first book about how much I hate retail. He replies, "Well, all the subsequent furniture companies we bought after Nebraska Furniture Mart and all the subsequent jewelers we bought after Borsheims are so useless. I am with you, Mohnish." If Charlie had his way, Berkshire would have had a much smaller retail footprint than it ended up with.

Warren himself has said that 12 ideas over 58 years or something have led to the creation of Berkshire. Warren has made somewhere between 300 and 400 investments in buying companies in those almost 6 decades. It is a 3 or 4% hit rate. That is the beautiful thing about this business. The interesting thing about 4% is that if we go back for the last 90 years in the US stock market, about 4% of the businesses have delivered all the returns in the market. The other 96% have barely matched bonds or inflation. They have not done much. The funny thing is that what has happened in the bigger market and what has happened inside Berkshire have been similar in terms of the percentages. Of course, in the case of Berkshire, the home runs have been so big that they have trounced the market. But it is humbling for all of us as investors to know that most of the time when we act, the odds are stacked against us.

Stig: Before we started the episode and hit record, you were kind and told me that I have a tough job coming up with questions no one has asked before. The good thing here is that now with the transition to Greg, that part is going to be new because we have not had this transition before with Berkshire. I cannot help but ask you about the $25 million annual compensation now. Together with a lot of other Berkshire shareholders, I was curious about what Buffett would come up with, as this is how a CEO should be compensated. I do not know if Buffett has nudged Abel, or probably not, but he takes his entire compensation after tax and then buys Berkshire in the open market. If you are on the board, if you were God, how would you incentivize Greg Abel to align him most with shareholders?

Mohnish: For the last several years, both Greg and Ajit have been vice chairmen and every year gotten the same amount of compensation down to the last dollar. The reason Warren and Charlie did that is to avoid envy. Even though these two guys are high-quality individuals, they did not want to go anywhere near the envy kicking in. Greg has been paid 20-odd million for several years. Warren has said about Ajit that many times when he has paid him, he felt he had left out a zero. Ajit is responsible single-handedly for creating maybe $150 billion in value for Berkshire shareholders. They could never compensate him enough in the sense that if Berkshire paid him something like $30 billion or something, then it might be appropriate. But they have not paid anywhere near that. One time, there was some hue and cry about Jamie Dimon's compensation. Jamie was making like $25 or $30 million. Warren said, "Anytime Jamie wants to come to Berkshire, I am happy to double it. Do you think Jamie is overpaid at $30

million? Well, I am willing to give him a $60 million base salary tomorrow without even defining what he would be doing for us." Greg is seriously underpaid. Ajit is seriously underpaid. You also have to understand that Greg had a significant stake in Berkshire Hathaway Energy that was sold to Berkshire. Greg's net worth is somewhere between $700 million and a billion. Between us, not much of his net worth is in Berkshire. If I look at Ajit, for example, he has been taking his salary after expenses and buying Berkshire stock. He has been doing it for decades. I would say that I do not know what Ajit's net worth is, but I would guess that maybe 80% or even 90% of his investment would be in Berkshire Hathaway. Greg is plenty diversified. He came up with putting the money into Berkshire stock on his own because he felt it was the appropriate thing to do. He is not at Berkshire for a paycheck. Greg is smart. He does not need to work another day in his life, and any number of people will pay him multiples of that to work for them.

Stig: I like that you say that, Mohnish. It is important for a number like that not to stand alone. It is difficult. Is $25 million a lot? If you do compare it to what other Fortune 10 CEOs are making, we can go down the rabbit hole.

Mohnish: Look at Sundar's compensation. Look at Satya's compensation. Look at those hired guns in those companies. Sundar is worth more than $500 million and might be underpaid.

Stig: Mohnish, I have been watching your videos for a long time and studying your work. You used to say to people, unless they wanted to invest and do the hard work themselves, they could buy the S&P 500 or an index. I have heard you recently talk, not giving people a hot stock tip, but you talk more about, perhaps, with the valuation of the S&P 500, look at Berkshire, for example. Again, not as a hot stock tip, but more as in it is super diversified, it is well managed, and it is a reasonable valuation.

I wanted to tweak a bit of a question here because let us say over the next 10 years, most people in the value investing community would be thinking about Berkshire over the S&P 500. What if we said over the next 50 or 100 years, meaning the fingerprints of Buffett and Munger would slowly fade away, and of Greg Abel, for that matter, then the S&P 500 has this built-in mechanism where it recycles out the bad companies and includes some good companies. If I put you on the spot today, I know it is purely theoretical, but for grandkids, they had to hold it for 50 or 100 years. Should they be holding the S&P 500 or Berkshire?

Mohnish: When you go to such a long period, I would switch from a single holding to maybe around 4. I would say you could do the S&P one-fourth, you could do Berkshire one-fourth, and I would like to get some good broad international index that has more exposure to Asia and China and others like that. I would make it more like 4 and spread it between 4 indices like that, with Berkshire being one of them.

Stig: That makes sense. Mohnish, we previously, here on the show, talked about how you like to play single-player games, and one example is that you did not want to run TransTech because you felt you were herding cats.

One of the reasons why I started my own company was that I did not want to deal with all the politics and bureaucracy of being in the corporate world. Then the irony of life is that you build your own company, you build your team, and then all of a sudden you get entangled in the same admin stuff that you tried to escape. I cannot figure out if it is similar to being a retailer, and then you have to accept that there is a small amount of shrinkage. It is the cost of doing business. How much of your life can you structure around not having any admin stuff, and how much can you truly delegate to a team?

Mohnish: I try to keep it front and center that I am not going to do well if I am lost in a team. Thankfully, I have a few gifted people in the company. I have delegated to the point of abdication to them. To tell you how much I do not care for the stuff, we use a software package to do our reviews for our people, and it does a 360 review. It sends information to peers, superiors, and subordinates. All of that gets pulled together and then gives us a combined report of what the person thinks and what all these people above or below him think as well. They send it to me as well to fill out for at least the people who are directly reporting to me. I have never filled it out, because that is not me. Whenever I go there, I tell them, I am sorry, I cannot do it. Those are the few sentences about what is going on with this person. Warm regards. That is it. I try not to get involved in things that I do not like. I am probably not being fair to those individuals because they would probably appreciate more granularity with me about what is going on, but it is not me. I do not want to spend my time on reviews. I hate reviews. I do not like to think about compensation changes. I have no problem with the change; I do not want to spend brain cells on that. Thankfully, I have been able to keep our team without going deep into that area, which I would not like to do.

Stig: You live a good life, my friend.

Mohnish: In your case, as I said, because you have more things than when you started, I suggest you set things up in a way that can work better for you. You have to think about what Stig loves to do, what Stig does not love to do, who else can do what Stig does not love to do, and then go with that.

Stig: Well said. We can call this framework “simplicity over complexity.” Could you talk to us about why you set up the Pabrai Wagons ETF and how that adds to your daily happiness?

Mohnish: Our minimums in Pabrai Investment Funds are high. Funds are over a billion dollars, and it is multiple millions. It is a small sliver of folks that it would appeal to, and it is concentrated. I always felt like we had so many people interested in wanting to invest that I had no way to serve them. I do not like to be elitist about it. I like the ETF because it allows us to work with Joe Public and also

work with Joe Public around the world, which is great. That is one of the big motivations.

Stig: You are a good person, Mohnish. I spoke with a friend here the other day. He is the executive of a public company. Every time there was something going on, there was always someone with 5CRs screaming at him about how unhappy they were. After I had gone through the motions with him, I thought, "That is why you work in private companies, and not want that exposure." That was why, and I do not think that reflects well on me. I think it reflects well on you that you are saying you could sort of have this gated wall garden, but you do not want to deal with that. You also want to open up to the public. Perhaps it is because you have a thicker skin than I, but I would imagine you get a lot more feedback by numbers, because now you open up to a lot more people. Does that not faze you? Or does that feedback not get to you whenever people are happy about whatever people are happy about?

Mohnish: One of the mental models that is front and center for me is that I run into people who criticize Gandhi, Buffett, and all kinds of people who are, from my perspective, great or phenomenal. If they can criticize Gandhi, then who am I? As Buffett says, we can choose to live our lives with an inner scorecard or an outer scorecard. It is important to live by an inner scorecard. You are not going to silence the critics. The critics will say all kinds of things, and they may be fair or unfair or whatever. But I love Teddy Roosevelt's quote about the man in the arena – "It is not the critic who counts." I have that quote right here on my wall. I am going to read you a couple of parts of it.

"Credit belongs to the man who is actually in the arena, whose face is marred by dust and sweat and blood, who strives valiantly, who errs, who comes up short, again and again…" That is important. Who comes up short again and again? He is human. He is not perfect. He is not always able to prevail because there is no effort without error or shortcoming. But who does strive to do the deeds, who knows great enthusiasms, the great devotions, who spends himself in a worthy cause, who at the best knows in the end the triumphs of high achievement, and who at the worst, if he fails, at least fails while daring greatly, so that his place shall never be with those cold and timid souls who neither know victory nor defeat. That, to me, is all about the man in the arena. The man in the arena is not perfect. He comes up short, he is bloodied and scarred and whatever, but he keeps persevering. He ignores the critics. Our job is we do not to be in a walled garden. Munger and Buffett have been in an open field with all kinds of people saying all kinds of things about them. People criticize Warren all the time. The outer scorecard and inner scorecard are great models to have.

Stig: I love that you say that. One of the things I have been thinking a lot about with this whole Buffett and Munger framework is the idea that it is difficult to solve hard problems. One of the best ways is to completely avoid them, but at the same time, there are also things you want to take on. It is sort of like you always want to make sure that you keep your promises, and one way to do that is not

to make any promises. However, it is also a poor life if you do not make promises to people that you care for. You also have the struggle, but the struggle is where the meat is. That is still the good part. It is wonderful. This sounds operational after this wonderful quote that you shared, but I know you invest in a lot of emerging countries. But do you ever have any issues withdrawing money from those countries?

Mohnish: Our investments are heavily in one country outside the US, which is Turkey. I was drawn to Turkey because it was screening cheaply, but we did not invest in these businesses because we wanted Turkish exposure. We invested in them because they were exceptional businesses available at cigar butt prices. One thing to keep in mind is that for almost all businesses, the micro is going to trump the macro. How well we do with our Turkish businesses is probably 95% dependent on what the managers of those businesses do and what is the nature of the markets they are serving. It is things inside and around the business; little has to do with the macro. Anytime I bring up some Turkish business to someone, they will say, "What about Erdoğan?" Quite frankly, the focus on going after the leadership of a country as being your number one factor you are concerned about is myopic. The important questions are: What is the quality of the managers? What is the quality of the business? What is the size of the market? How well are they executing? Those are much more important questions because usually, the companies we have invested in, there is no real advantage the leader of Turkey is going to get by trying to go in and mess with those companies. He has other fish to fry. It is always important to focus around and inside the business.

Stig: That makes sense. I am always trying to figure out some of those long tail risks. In poker, you have the so-called nuts. That is the best hand. You can say that in life nothing is zero or 100%, but then you could say, "Hey, but in poker, if you have the nuts, you have the best hand, so what is your risk?" Then there was Doyle Brunson, the old poker legend who said, "Whenever you played in Texas back in the day, even if you had the nuts, someone would pull out a gun, and then he would take your money." Even 100% is not 100%, so you know. I was thinking that I understand the thesis, or at least I like to think so in Turkey.

Mohnish: I told my investors, and you have probably read this, "If you are invested in any of the Pabrai Investment Funds, know that they are concentrated. In some cases, one stock is more than half the fund. If you have less than 20% of your net worth with me, you have nothing to be concerned about. If you have more than 20% of your net worth with me, you can trim the position. In fact, I recommend you trim it if you have one-fifth of your assets with Pabrai Investment Funds." When you look through those one-fifth, probably no more than 10, 12% of their net worth is in one particular company. That is plenty of diversification. Let us put it this way: Walmart went public in 1972. It has been 54 years since they became public. The heirs of Sam Walton own more than they owned in terms of the percentage of Walmart that they own today versus when it IPO'd because Walmart has bought back shares. 46% of the company is

owned by family members, 54 years after the IPO. They are not diversified. But Pabrai Investment Funds is diversified. The Walton family is not diversified, but the Waltons would be far worse off if they had listened to the helpers.

You do not need to listen to the helpers. The helpers are helping themselves. The reality is that most entrepreneurs and most people who have become billionaires have, through that journey, had 90, 95, 99% of their net worth in a single stock, and they do not lose sleep over it. We somehow accept that a couple running a Chinese restaurant has 90% of everything in the restaurant. They are busy working. It is not even liquid. They do not lose sleep over it. Here we have a portfolio that we can buy and sell every day, and we want to own one of everything. That makes no sense.

Stig: It is a good point. There was this expression, "The cup is already full." It means that people already have an idea of how the world is. I was having a conversation with Guy about this some time ago, and we talked about you and your portfolio. He talked about how concentrated you were, not in a bad way, and said, "He does it a different way." My rebuttal to that was that Guy is thinking, someone would put all his wealth into, let us say, Pabrai Investment Funds, which, if you are not an investor, you probably want Mohnish to be fully invested in Pabrai Investment Funds. If you are an investor in Berkshire Hathaway, you want Buffett to be fully invested in Berkshire Hathaway, but you can size accordingly. If you feel it is too much, put 10% in or 3% of your net worth or whatever in Pabrai Investment Funds, and then you are diversified. A lot of people are missing that whenever they are looking at the concentration here. Yes, but what is your true exposure to that? It probably comes from this feeling of control, where we feel like things are going well, and it is okay. Mohnish is doing his thing, but if we get something back, then it does not look as if it is different. If you run your own restaurant, you can feel that you can do this differently, but you cannot control what is going on in Turkey.

Mohnish: I was reading one of the investment letters of an investment manager who shall go nameless, and they were early to invest in Constellation Software. Mark Leonard, an unbelievably great manager, built a great business. Constellation has compounded at 30-plus percent, 35% since they went public. These guys were invested early. Anytime the Constellation position gets to 10% or more in this fund, they trim it. In my opinion, a great fund manager should, after 20 or 30 years, end up with 95% in one stock. Because what Warren has told us with the 4% rule (that is like a law of physics) is that it is difficult to find companies like Constellation. Constellation is a rare company, like the company I have in Turkey, Reysas, is a rare company. When you find yourself in the happy position of owning a small portion of it, and the guy is compounding, he is doing his thing. Mark Leonard now has cancer. He stepped away. He is the chairman. He did not take a base salary no bonus. He flew commercial. Then he said, I am too old for commercials. I am going to fly business, but I am going to be paying personally." The company used to pay for his coach travel. Now the company pays nothing, and he travels on business. Look at the ethics of the manager.

The other thing is that when I look at a business like Constellation, I see it as far less risky than a business like Walmart. Constellation is a more resilient business than Walmart because it is 1,000 businesses in one. Walmart is also many businesses in one, but not 1,000. By the time you get to the 6th or 7th business of Walmart, the rest may be small. Walmart is an exceptional company as well. But if you look at resilience, I would bet that Constellation is more resilient. When we are investment managers running a portfolio, and the people who have invested in Constellation are listening to every conference call and reading every annual letter, they know that company cold and how good that company is. To me, it is a desecration of the temple when you sit there and say it is not going to go over 10%. The temple got desecrated.

Stig: Mohnish, I want to take the opportunity to talk about one of your older investments. It is the Frontline investment from the fall of 2002. To be fair, one of the reasons is that there is some similarity to the whole Met coal thesis. One of the things that asset managers love to talk about is their eras. If I put them on here a bit on the spot, they say, "Oh, I sold out too early. I only made 55% on Frontline. I could have made 100x on that." Sometimes, asset managers do not like to talk about their omissions, but I wanted to talk about it. I am a bit sneaky about it, so please forgive me for this. Beyond the lesson of exiting too early with a wonderful business case here, what key insights or principles did you take away from the Frontline investment that have influenced how you approach similar opportunities today?

Mohnish: With the Frontline story, let me give your listeners the Cliff Notes version of it. I bought a stock with no downside. Quickly, I doubled my money, patted myself on the back, and exited. I then saw it go up 200x after that or more. In the fall of 2008, God loves Mohnish a lot. The proof of that is that in the fall of 2008, I was going to make a trip to San Jose, California. I was saying, "Oh, I am in San Jose, I have some time, whom can I meet?" I see that Michael Burry lives in San Jose, California. I do not know Michael Burry well, but I sent him an email and said, "Michael, this is Mohnish. You may or may not know me, but I would love to meet you in your office if you have some time." He says, "Come on over." It was September 2008. I went to Michael Burry's office, which you saw in *The Big Short*. Papers were all over. As soon as I go into his office, he launches into CDSs. He did not even say, "Hi, Mohnish, welcome." He goes straight into CDS. And God, who loves me so much, brought me to the epicenter of CDSs. No human on the planet could have explained CDSs to me and the whole housing market implosion that was going to happen in the future, better than Michael Burry. It is going so far above my head so fast. Poor God, He thought Mohnish was a capable guy, and He said, "If I send him to Mecca and show him the sermon, everything will be obvious to him." Of course, God did not understand how dumb I am. This whole Frontline thing happened. I got a double, and it went up 200 days.

Last year, I happened to have a trip to Norway. I had never been to Norway in my life. I went because there was a conference for offshore drillers. They said,

We have a field trip, which is not on the schedule. If you guys want to go on the field trip, it is to the headquarters of Frontline." I said, "God has a sense of humor." I thought, "I am going to go on this field trip because I know that is why God brought me to Norway, not for the offshore drillers. He wants to rub my nose in my mistakes." I go to the headquarters of Frontline. It was an out-of-body experience. When I go to the headquarters of Frontline, it is high-end: Persian rugs, extremely ornate, old-school mahogany interiors, and all that. They have a lot of art all over the place, and they have a lot of replicas of ships. Those replicas are 4-5 feet. There are VLCCs—very large crude carriers. They went up 200x. I am walking around and seeing that I owned 2% of all of this. Fredriksson did all of that. There is a door that opens right on the harbor. It is the most beautiful building right on the harbor with all these boats. Such a nice offer. I said, "God wanted you to see this, Mohnish. He did not want you to die knowing that was a 200x, whatever." All that art, all those VLCC, everything got paid by a tiny rounding error of the returns on that investment. I like the way God has a sense of humor with me. I knew the Frontline trip was not, "I am going to make you some money." It was, "I took you to the altar. You decided not to get married. I want to show you what could have been if you had gotten married."

Regarding the similarity between Frontline and the met coal thesis, the met coal thesis is more similar to a company called IPSCO than it is to Frontline. You may recall that IPSCO was a Canadian steelmaker. This was a beautiful math game. It is like playing blackjack in Vegas. What a blessed life. I wake up one morning, and I look at IPSCO, and IPSCO is a Canadian company with a $40 stock price. They have $15 a share in cash on their balance sheet, no debt. They have publicly announced that for the next 2 years, they are going to produce $15 a share of cash flow each of the next 2 years. If you hold the stock for 2 years, you have $45 in cash. Stock is currently at $40. Plant equipment, inventory, everything free. What is not to like about that? Then, of course, the issue was that in year 3, it is a cyclical business. They make tubular steel. Cash flows could be negative. They could go below zero. But I said, "Why entertain such morose thoughts? Let us hold the stock for 2 years and see what happens. I want to see Mr. Market price this thing at $40 when there is $45 of cash on the balance sheet." I put 10% of the funds in IPSCO. One year goes by, and the company announces that the third year is also going to be $15 a share. Now we are at $60 on the balance sheet, and the stock price by now has moved to about $90, which is a little bit more reasonable than the stupid $40 it was sitting at. When it is sitting at $90, I am thinking, "Mohnish, we have long-term gains. We have a double. Well done. We need to be out of here."

While I am going through these thoughts, I wake up one day and see the stock is at $155 a share. It jumped from $90 to $155 because a Swedish company came in and offered $160 a share. Mark Twain says, "Truth is stranger than fiction because fiction has to make sense." Why that Swedish company did not make an offer of $50 when it was $40 a share is something I will never understand.

But they did offer the $160, and one femtosecond after I read that, I exited my position. I have always had great nostalgia for IPSCO. Then on Twitter, where about 260,000 of my close friends hang out, one of my close friends posts, "Hey Mohnish, this CONSOL Energy position by David Einhorn looks like your IPSCO bet." I read that and say, "Oh, God still loves me so much, because now through Twitter and X, He gives me what He is thinking." Anytime someone says something about IPSCO, I am going to look at it. It was such a beautiful experience, no downside. I look at CONSOL Energy, and the guy is right. It is similar to IPSCO. They are forward selling and have visibility in the future. It is not as clean as IPSCO. IPSCO was with a bow on it. It was picture perfect. This was not as clean as that, but it was a favorable risk-reward because of what the stock price was, what the cash flows were coming in, and so on. I said, "Hallelujah, IPSCO is back, and we do not need to think much. We already have that framework in the head." I went in and bought CONSOL. I started studying the coal business. Then I find that on the met coal side, CONSOL was thermal coal. They are a good company, but on the met coal side, it is even more favorable. I switched the bet from CONSOL to Alpha and Warrior.

In all the years I was friends with Charlie Munger, I had never requested that he meet me. I always met him when he wanted to meet. He would say, "Mohnish, come for dinner." I would go and never ask for anything. He was too busy. But that year in 2023, one month before he passed away, for the first time, I was feeling that I needed to meet Charlie. I reached out to his assistant and said, "I would like to meet Charlie." She gave me some dates to choose from. I picked a Saturday, and I flew from Austin to meet him. It turned out that exactly 4 weeks after that, he passed away. We had what was to be our last meal together in October 2023. When I was talking to Charlie, CONSOL Energy came up, and Charlie said that he invested in CONSOL in May 2023. I told Charlie that we both bought the same stock, a coal company, within 2 weeks of each other, without ever having spoken to each other about it. How strange is that? He replies, "Mohnish, it was bound to happen." I am Charlie felt like that; that it was bound to happen. Why is he saying that? But then I told Charlie in October, "Charlie, I was orgasmic about CONSOL, but then I ran into Alpha Metallurgical Resource, and it was even better than CONSOL. I am going to send you a write-up on Alpha, and I believe you should switch from CONSOL to Alpha." I sent him the write-up, and 6 days before he passed away, the Tuesday before Thanksgiving, he was still buying Alpha stock. What I love about Charlie is that he was 99.9 years old, and it was irrelevant what his life expectancy was. He was still excited to make bets. He was buying Alpha literally till he passed away. These are great bets because no one wants to be in coal. It is a four-letter word, and people do not want to even spend time thinking about it. That is all okay with me. No problem.

Stig: Whenever someone like Mohnish would double his money but lose out on a 200-bagger, is there something lingering where we all know that we should not be making the money back the way that we lost it, or whatever metaphorical

way you want to put that. How do you protect your own bias against saying, "I should have had a 200-bagger in Frontline, and now I see the same thing in this thesis or whatever, so now I want to make that bet because now I learned the framework." You are making those bets for the right reasons. How do you protect yourself and only take the good from your past experiences and not the bad?

Mohnish: That is a wonderful and important question. One of the lessons that took me many decades to learn is not to sell a good or great company when it is fairly priced or even overpriced. I was always trying to sell things at 90% of fair value, and that was a bad framework to have because we do not know what the actual fair value is for a great business. Only when it gets egregiously overpriced, like there is no way you can justify it, is when you can consider exiting the business. Because of the 4% rule that Warren has shown us, or the stock market has shown us, the true great compounders are few and far between. They are going to end up in your portfolio, and when they do, your job is not to be trigger-happy. The reality of investing is that this is a forgiving business.

Let us look at an example. There is some controversy over whether Walmart was part of the Nifty 50 or not in the 1970s. Let us assume it was part of the Nifty 50. It was 2% allocation to Walmart out of 50 stocks. Let us say the other 49 stocks went to zero. We made a $100,000 bet in 1970, and $98,000 of that has gone to zero. Let us say that all the companies that were there, which some were good companies like McDonald's and Coke, went to zero. You only had the 2% that you invested in Walmart. If you carried that till today, you blew out the S&P with 98% error rate, holding on to one business because that one business outperformed the S&P by so much that it outperformed significantly. There is a strong asymmetry here, where the winners can be truly spectacular winners. It is not so much that if you hold onto 5 companies, it may have been better to sell 3 of them. You do not need to be optimized. You own all 5, and that allows you to own the 1 or 2 that go spectacular. The important thing is not to get cute.

If you look at our Wagons Fund, we have the Mark Leonard Constellation businesses in there. They have a good future. I have no crystal ball that tells me what those companies look like 10 or 20 years from now, but I want to let them run. We have the coal companies. I also do not know what those look like 10 or 20 years from now. We want to let those run too. It looks favorable. We have some Turkish bets in there too, like Reysas. We want to let them run. I believe that when you put enough of these things that have great characteristics, the world is a messy place. Things will come from left field. We do not know what happens to these different companies at what point, but it is almost inconceivable that all of them fall apart: Constellation falls apart, the coal bets fall apart, Turkey falls apart, and our offshore drillers fall apart. Everything falls apart. In fact, I cannot see that. I can see that maybe one or two of them might have some issues, but I do not see it across the board. We do not need to be right to the fourth decimal. We also do not need to know which one of these is

going to be the one. They are all there. Let them all run. Let them go do their thing. We watch from the sidelines, see what happens, and that is it.

Stig: I have a bias toward concentration. But then to your point, if you have 50 stocks and then 2% allocation, you hold on for 50 years, and then it beats the S&P 500 if the 49 others go to zero. How do you think about position sizing? Are you thinking differently about the 10 by 10 framework, for example, in Pabrai Investment Funds that we talked about in the past, or how should we square the circle?

Mohnish: The ETF laws and rules require far more diversification than I would naturally choose– that is my natural bent. We are not going to have large positions there, which is fine. In Pabrai Investment Funds, we have never wanted to put more than 10% into anything. That is also fine. At the end of the day, if you have a spectacular winner, it is going to take care of itself even with a small position size. As long as you do not trim, as long as you do not desecrate the temple, we are all fine. We do not need to go all in with a big conviction. The winners are going to get there. No matter where they start, they will get there. Be relaxed and patient, and they will be fine. In fact, that is exactly what happens in index investing. We do not get to see what is happening with the sausage factory and how the sausage is made with the index. But effectively, what is happening in the index is that it keeps the winners for a long time. Those few 4 or 5% of companies are driving the whole end result. We do not see it because we see the S&P, and that is fine. That is what is happening inside the market and inside the index as well. The important thing is to leave it alone.

Stig: I am looking at all these mental models and trying to figure out how to go back to first principles. You are typically in trouble whenever you are listening to someone who is talking about first principles because they seem to go in all kinds of directions whenever you do. But I was trying to think about Darwin and what he taught us about survival and adaptation. I wanted to give you that framework, and please feel free to question the premise in the first place, but have you learned anything from Darwin about how to avoid ruin and compound capital in investing?

Mohnish: There is a wonderful book written by a great investor called Pulak Prasad. The book is *What I Learned About Investing From Darwin.* It is one of the best investment books I have ever read. It is a wonderful book. I learned a lot from Pulak. He is an interesting guy. He lives in Singapore and runs a fund. It is about 5 billion or so. I do not think they are taking new capital in. He has posted his entire portfolio on their homepage. There is no movement in that portfolio. If they buy a company, they are married to the company. They might do 5 years of research before they buy a company, but once they buy the company, they are pretty much all in forever. It is a wonderful framework where they think of themselves as owners of these businesses. These are businesses with truly exceptional corporate governance. They are well-run businesses. They can be basic businesses, but they are well-run.

Darwin says that the species that survive are not the strongest or the biggest, but the ones that are the fittest. It is survival of the fittest. That applies to investments big time. If we look at a company like Microsoft, the evolution that the business has gone through over the last 6 decades has been unbelievable. They have continuously reinvented themselves. Microsoft was threatened with extinction so many times, and if it had not zigzagged, it would have gone extinct as everyone else did. That is an example of a business that is a fit business. Even though it was a big business, what was important was the fitness of the business. Look at Walmart, for example. It is also a fit business because they have been so fanatical about delivering value to their customers, about efficiency, and taking cost out of the system. They have taken out everyone and built their footprint. We want to have the fittest businesses. One of the definitions of fitness is lack of leverage. When you look at these businesses, you want to see management teams that have the ability to zigzag, and you have a capital structure that allows you the freedom to zigzag. There are a lot of things that you can learn from Darwin that you can apply in the corporate world, which would be helpful.

Stig: Let us jump from Darwin to our friend Guy. Guy would appreciate that we made that jump, especially in this tricky situation. I wanted to round off the episode by asking you what the most important thing that you learned from Guy was about investing, and also about living a good life.

Mohnish: Guy's situation is unfortunate. I was so heartbroken. Guy and I are different people, and I would have never predicted that someone like him would be my best friend. We are so different in how we think about things. I recently wrote an old-fashioned letter to Guy. I told him that I have often wondered why we have a strong connection with each other. I told him that I concluded that it was because he sees me.

You remember the Avatar movie? “I see you.” In the movie, there is a point, and they bring it up several times, where they make the comment, "I see you." That phrase is deep. With Guy, I feel he gets me in a way almost no one gets me, and I get him in a way almost nobody gets him. I told him, “Guy, I think the reason we have this connection is that you see me and I see you.” I remember that one time Guy and I were going to take an overnight train in India. From Mumbai to Delhi. The train leaves at around 4 PM from Mumbai and gets into Delhi around 10 AM. It is an overnight trip. The train is a Rajdhani Express train. It is a nice train. He and I had a two-person private compartment, a private room, two people. When the journey was about to start, I told him, "Guy, I want to tell you something. You see that button there? That is a bell. When you press that bell, the butler is going to show up and do whatever you want. Okay? I want you to press that bell the first time to drown the butler in cash. Do not ask him for anything. Drown him in cash. In India, $25 is enough. He will almost have a cardiac arrest at that point.” He rings the bell. The butler shows up. Guy gives him the $25.

I am going to take a little detour for a second before I continue the story. There is another friend of mine who used to be an engineer installing cellular networks in Africa. He used to work for AT&T, so they would go to different African countries, and he was in charge. He said that one time he went to Ghana, and they always put him up in the best and most beautiful hotel in Accra, right on the ocean. He said that he gave the porter carrying his luggage to his villa a $1 tip. The guy looked at the dollar and gave him a full military salute. He said that no one has ever given him that type of salute or that type of respect ever in his life. He told me that he gave him another dollar and asked him to do it again. He gave him a lot of dollars because of the salute, and it was awesome.

Anyway, coming back to Guy. The butler shows up, and Guy gives him the $25. He almost died. It was almost half his month's salary. The butler says, “Yes, sir. What can I do for you?” Guy says, “Nothing right now, please. We wanted to say that we are so happy to have you." The guy could not believe that we had said that. I said, "Now, Guy, feel free to ring that bell as often as you want. He is going to drop everyone else and be here.” Guy loves to have tea, and I said, "Don’t you want some tea, Guy?" and he said, “Yes.” In that 17-hour journey, Guy must have rung that bell 30 times. There was tea coming every 45 minutes. He was face-timing his wife, Lory, and was in an orgasmic state. He was in an orgasmic state in a third-world country on a train. He was telling his wife, Lory, “In the compartment, we do not have to go to a dining car. They bring me my tea, they bring me biscuits, they bring me this, they bring me that. When I tell the butler the tea is slightly cold, he brings me a new one. For dinner, a white tablecloth, and everything in our suite.” I am thinking that he is continuously face-timing his wife, telling her this and that. I told Guy, “Guy, I see you. If you were traveling with anyone else, they would not be able to understand what is going to get you excited.” That was a wonderful experience.

I often felt that when I was doing something, he would comment, and I would say, “What?” He would look straight at me, and it felt like he knew exactly what I needed. It was so beautiful.

Stig: Wonderful. *I see you.* The movie is Avatar, right?

Mohnish: Yes, Avatar. Watch it.

Stig: Mohnish, thank you so much for your service to the value investing community. And for saying all these wonderful things about Guy. I am sure he would say the same thing about you. We published this over the Berkshire weekend. Any concluding remarks here before I let you go?

Mohnish: Stig, I always enjoy our conversations, and you always impress me so much. Every time I am thinking, “Stig is going to have such a hard time. He has asked me everything already. The poor guy has to watch so many hours of videos. But you outdo yourself each time. It is so much fun. Thank you so much.

Stig: Oh, thank you so much for saying so.

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